

[Table 30.3](#) shows failure rates for double tops. The bull market starts out with a high failure rate (breakeven), and it almost doubles in the next row down. The losses are painful. Let me explain with examples. Twenty-five percent of Adam & Adam double tops fail to see price drop more than 5%. That's a lot. The next row down shows that 46% will fail to see price drop more than 10%. And so on down the list. If you are considering shorting this pattern, then maybe you should reconsider.

[Table 30.4](#) shows breakout-related statistics.

Breakout direction. The breakout direction of choice is downward. How often? All of the time. That's by definition. A breakout occurs when price closes below the lowest valley between the two Adam peaks. As the Identification Guidelines explained, if price doesn't close below the confirmation price, then it's not a double top.

Yearly position, performance. The performance difference for bearish patterns doesn't vary much depending on where in the yearly high–low price range the breakout appears. We see that in the table. It does indicate, however, that you should avoid shorting a stock within a third of the yearly high. Does that advice make sense? Consider that there's a reason a stock is making new highs and another stock is making new lows. You want to short weak stocks (those making new lows for a reason), not those you believe are overvalued and ripe to tumble. A rising price trend can continue longer than you expect, sometimes for years.